Monetary Authority of Singapore

AML/CFT SUPERVISORY EXPECTATIONS FROM RECENT INSPECTIONS

INFORMATION PAPER
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Table of Contents

Introduction

This paper sets out MAS' supervisory expectations in relation to financial institutions' (FIs) application of their anti-money laundering and countering the financing of terrorism (AML/CFT) controls in certain areas. These areas have been identified as deserving of further guidance and clarity, through recent AML/CFT inspections of FIs[1] which focused on customer due diligence (CDD), ongoing monitoring and risk mitigation. The paper therefore provides greater clarity on MAS' supervisory expectations in these areas, along with good practices that were noted by MAS.

While this paper does not impose new regulatory obligations on FIs, FIs should benchmark themselves against the practices and supervisory expectations set out here in a risk-based and proportionate manner, and conduct a gap analysis, taking into account the risk profile of their business activities and customers. Where FIs identify gaps in their AML/CFT frameworks and controls, specific remediation/enhancement measures should be implemented in a timely manner. Senior management should exercise close oversight of the gap assessment and ensure effective implementation of follow-up actions, as appropriate.

SUPERVISORY EXPECTATIONS IN THE AREA OF:

A Assessment of customer risk

- Consider money laundering/terrorism financing (ML/TF) risks emanating from customers with multiple nationalities (including citizenship and residency by investment schemes) in the customer risk assessment (CRA).

B Identification of material red flags

- Institute guidance to detect and escalate material red flags.

C Source of Wealth (SOW) establishment

- Apply rigor in assessing the plausibility of SOW, commensurate with the level of ML/TF risks.

D Risk mitigation measures

- Take adequate risk mitigation measures (i) post-STR filing and/or (ii) after decision was made to exit the customer accounts.

E Holistic monitoring of accounts

- Share information on customers and their related accounts across different business units to facilitate detection of red flags.

[1] *Including banks, payment service providers, capital markets services licensees, licensed trust companies and direct life insurers.*

SUPERVISORY EXPECTATIONS

- **FIs should have a good understanding of their customers' profiles in order to inform their (a) ML/TF risk assessment of the customer at onboarding and (b) ongoing monitoring of business relations.**

- **FIs should, *inter alia*, take reasonable measures to obtain and verify information on their customers' current and previous nationalities as well as identities**, particularly if the ML/TF risk of the customer is determined to be high, or if there are factors that indicate ML/TF risks emanating from customers with multiple nationalities.

- **Customers can hold multiple nationalities for legitimate reasons** – including via citizenship and residency by investment (CBI/RBI) schemes offered by jurisdictions. We do not expect such customers to be assessed as higher risk by default. However, given that the holding of multiple nationalities could be misused, for example to mask the true identity of a customer seeking to evade screening checks for sanctions and adverse news, FIs are expected to consider the ML/TF risks posed by customers that hold multiple nationalities as part of its customer risk assessment framework at onboarding and on an ongoing basis. This should take into consideration factors such as:
    - Frequent changes in nationalities and/or key identifiers of the customer;
    - Information suggesting that the customer may be withholding his/her previous nationalities and/or identities;
    - CBI/RBI schemes that are assessed to be of higher risk[2];
    - Adverse news on the customer;
    - Material discrepancies between customer's declaration at onboarding and information noted after business relations have been established.

- **FIs should take into consideration the customer's current and previous nationalities and/or identities when assessing potential adverse news screening alerts.** FIs should not dismiss such screening alerts solely based on the customer's current nationality or identity. Additional due diligence should be performed e.g. adverse media searches in native languages of countries known to be associated with the customer. Where there are ML/TF risk concerns identified, FIs should take appropriate risk mitigation measures – including discontinuing the onboarding process and/or filing an STR on the customer.

- **FIs should periodically review its CRA framework** to ensure that the ML/TF risk assessment of their customers keep pace with evolving ML/TF risk typologies.

[2] *For instance, OECD has also published a list of potentially higher risk CBI/RBI schemes.*

GOOD PRACTICES

FIs obtained information on customers' current and previous nationalities

- Some FIs required their customers to declare all nationalities (i.e. current and previous)[3] during onboarding, to assess whether their customer posed higher ML/TF risks.

- Additional due diligence measures had been performed in some cases to form a better understanding of the customers' profiles. These additional measures included:
  (a) Inquiring and assessing the legitimacy of the customers' rationale for their multiple and/or frequent changes in nationalities; and
  (b) Obtaining additional evidence proof to verify the customer's representations (such as proof of renunciation of previous nationalities).

[3] *This is also a practice encouraged in FATF's paper on "Misuse of Citizenship and Residency by Investment Programmes" published in November 2023.*

B. Identification of material red flags

SUPERVISORY EXPECTATIONS

- **FIs should exercise vigilance in identifying material red flags in documents obtained from customers as part of their CDD process.** In addition to enabling the fulfilment of their AML/CFT obligations, this vigilance is important to safeguard FIs' interests and reputation.

- **Clear guidance should be set out for staff to take reasonable steps to identify and escalate material red flags** in documents/representations obtained from or made by customers to detect potential suspicious ML/TF activities promptly. Where there are doubts about the legitimacy of documents/representations obtained from or made by the customer, further follow-up actions, such as conducting additional inquiry and independent due diligence on the customer, and/or taking additional risk mitigation measures (such as exiting the business relationship and/or filing an STR), should be triggered.

- **FIs should also convey their expectations of the roles and responsibilities of the three lines of defence** in relation to the detection of potentially fraudulent or tampered documents, so that staff are aware of and understand their individual ownership and accountability.

- **MAS does not expect FIs' staff to conduct forensic analysis** of all documents obtained from customers. However, staff should be alert to material red flags that may suggest potentially fraudulent or tampered documents. Material red flags may include:

  - Significant discrepancies in customers' representations against independent sources, such as corporate data reports;

  - Accounting errors, or anomalies in financial statements that are not in line with the FIs' understanding of the customer's profile;

  - Lack of official sign-offs by relevant certifying parties e.g. auditor, notary public.

- **FIs should set out examples of material red flags that staff should take note of.** To maintain the standard of vigilance, FIs should ensure that such guidance is periodically updated and staff is regularly trained, taking into account relevant observations from past cases, as well as new ML/TF risk typologies.

- **FIs are also encouraged to leverage appropriate technology to enhance their detection of potentially fraudulent or tampered documents** obtained from customers. Some examples of technology solutions include those that are able to detect outliers and unusual patterns in financial data.

B. Identification of material red flags

GOOD PRACTICES

Vigilant staff identified material red flags at onboarding

- In some cases, FIs' compliance staff members were able to identify material discrepancies in the customers' representations and/or information in CDD documents obtained from the customers. This led to additional steps taken to ascertain the authenticity of the information provided.

- Examples of material red flags that were followed up by these FIs include:

  - Inaccuracies in buyer details stated in sale contracts of web domain – The web domain remained in use despite being "sold" and was marketed for sale at a fraction of its purported sale price;

  - Incongruent description of the nature of business stated in Company's business licence vis-à-vis customer's representations;

  - Differing dates of the customer's shareholding of the company per the customer's representations vis-à-vis an independent corporate data report used to verify the customer's ownership of a company;

  - Bank statements with missing descriptors and irregular formatting.

- Upon further due diligence performed, STRs were filed by the FIs in relation to some of these customers.

SUPERVISORY EXPECTATIONS

- **Establishing SOW is important to (a) ensure the legitimacy of the customer's SOW; and (b) inform FIs' ongoing monitoring of business relations with customers.** FIs should apply rigor in assessing the plausibility of customers' SOW and avoid over-reliance on customers' representations. Where FIs are unable to establish SOW that is of higher risk or a significant portion of a customer's wealth, closer senior management oversight and enhanced monitoring are needed.

- **For PEPs, private banking (PB) businesses and wealth management businesses,** MAS expects FIs' SOW establishment measures to encompass obtaining (i) a base set of SOW information, including details on seed money where relevant; and (ii) additional documents and/or information to independently corroborate the SOW of the customer. This is in view of the heightened ML/TF risks posed by such customers.

- **For other higher risk categories of customers (OHRCs),** FIs should also establish customers' SOW by (i) obtaining a base set of SOW information, including details on seed money where relevant; and (ii) assessing whether there are any ML/TF risk concerns that will warrant and can be addressed by further corroborative checks.

	Obtaining base set of SOW information	Corroborate using independent information and/or documents
PEPs	✓	✓
All PB business, and wealth management for high net worth customers	✓	✓
OHRCs	✓	Dependent on whether SOW corroboration is a relevant ECDD measure that can mitigate the ML/TF risk.

SOW establishment entails:

Minimally obtaining a base set of SOW information from the customer, including details on seed money. FIs should document and make a reasonable assessment of the customer's representations.

Where there is heightened ML/TF risk, FIs should corroborate SOW – by obtaining additional documents and/or information to independently verify the SOW information of the customer.

SUPERVISORY EXPECTATIONS

KEY PRINCIPLES IN ESTABLISHING SOW OF CUSTOMERS[4]

Materiality

Obtain information on customer's entire body of wealth.

Focus on corroborating the more material or higher risk SOW (e.g. SOW from higher risk countries or higher risk industries).

Assess whether residual risk of uncorroborated wealth is acceptable or additional risk mitigation measures would be necessary.

Prudence

Use more reliable corroborative evidence. For instance:

- ***For SOW derived from gifts***
  - FIs should establish the relationship between the asset contributor and the customer by reasonable means – such as obtaining birth certificate (if available) or address proof.
  - FIs should pay closer scrutiny to the legitimacy and reasonableness of the gift, especially if it is from unrelated parties. This could be done through obtaining independent information to verify a gifting transaction, and assessing the plausibility of the asset contributor's financial ability to provide as well as reasons for providing the gift.
- ***For SOW derived from business ownerships***
  - FIs should seek to obtain audited financial statements, if available.
  - Unaudited management accounts should only be considered as an alternative. If used, FIs should conduct additional triangulation checks against independent sources to assess the reliability of such unaudited financial information.

Assumptions and benchmarks can be used, but with reasonable basis – FIs should ensure that they are relevant and appropriate for the customer's profile and circumstances. For instance:

- ***For SOW derived from dividend income***
  - FIs should independently establish the customer's shareholdings in the business, to assess the proportion of dividend income earned.
  - If dividend income spans across many years, FIs should seek to obtain several years' worth of financial statements, instead of using a couple of financial statements to extrapolate. Where financial statements are unavailable, additional independent benchmarks should be used to justify any assumption.

Document the basis for the benchmarks and assumptions used.

Relevance

Exercise reasonable judgment in determining which documents and/or information are critical for SOW corroboration.

- E.g. Documents from many years ago may no longer be easily available and not be of high relevance to the customer's SOW.

[4] *These key principles have also been outlined in MAS' Circular on "Establishing the Sources of Wealth of Customers" issued on 26 July 2024, which provides further guidance to FIs in the wealth management sector on the establishment of SOW of their customers.*

GOOD PRACTICES

Additional checks to corroborate SOW from gifts

- An FI noted that the SOW of its PB customer was primarily from gifts from a third party. Beyond identifying the third party and assessing the legitimacy and reasonableness of the gift amounts, the FI also initiated additional steps to ascertain the purported relationship between the customer and the third party, which included:

  - Obtaining identity documents to verify the family nexus between the customer and the third party; and
  - Additional corroborative checks using publicly available information.

- In addition, some FIs requested for additional information to corroborate the gifting event as represented by the customer. Such additional information included independent documents to corroborate the transfer of assets, bank statements or publicly available information.

SUPERVISORY EXPECTATIONS

- **It is important for FIs to put in place timely and appropriate risk mitigation measures when an STR is filed or where there are reasonable grounds for suspicion that would warrant an STR to be filed on an account.** This is to ensure that FIs are not exposed to risks of facilitation of ML/TF activities, while deciding whether to retain the accounts or processing the closure of the accounts.

- **FIs should ensure that the risk mitigation measures taken are adequate to address the risk concerns**, and not solely rely on enhanced monitoring of the account. For example, FIs may decide to suspend the account pending further review, or impose specific restrictions on the account to limit their ML/TF risk exposure. Should the risk concerns persist, FIs should escalate the case to the senior management and consider exiting the accounts in a timely manner and subjecting these accounts to adequate risk mitigation measures.

- **FIs' senior management also needs to exercise close oversight of the business relations with such customers**, including:

  - Setting clear expectations for such cases to be escalated for attention and ensuring that appropriate risk mitigation measures, including any revisions to customer risk rating and enhanced ongoing monitoring of business relations, are taken;
  - Requiring periodic updates on the progress of account reviews for such customers; and
  - Allocating adequate resources to ensure the quality and timeliness of the completion of account reviews for such customers.

GOOD PRACTICES

Timely and appropriate risk mitigation measures were taken

- Some FIs' policies required customers with STRs filed to be subjected to enhanced monitoring measures post-STR filing. Post-STR filing risk mitigation measures such as the following were therefore taken:

  - Placement of customer on enhanced monitoring via the transaction monitoring system; and

  - Review of whether to retain relationship with the customer, and need for senior management's approval for retention decisions. Where reviews were not completed by a stipulated timeline, risk mitigation measures (e.g. exit of customer relationship or transaction blocks) were applied. Where the FI decides to exit the relationship, commensurate risk mitigation measures were also taken (e.g. revision of risk rating and restrictions on accounts), pending closure of the account.

E. Holistic monitoring of accounts

SUPERVISORY EXPECTATIONS

- **Holistic monitoring across business units (BUs) is important for FIs to (a) better understand the risks associated with customers and their related accounts; and (b) identify potential ML/TF risks and take any risk mitigation measures if required.** This would allow FIs to conduct a holistic assessment of risks (including SOW concerns) posed by a customer and beneficial owner(s), and take appropriate risk mitigation measures such as enhanced monitoring and filing of STR, where required.

- **FIs should facilitate the cross-sharing of customer (and their related accounts) profiles and onboarding information with the relevant BUs[5], in particular for customers with higher ML/TF risk.** This would enable better triangulation and identification of any red flags on an ongoing basis, to prevent potential bad actors from taking advantage of information asymmetry within the FI.

- Examples of customer profile and onboarding information include SOW information and assessment, Know-Your-Customer forms and other supporting documents.

[5] *With reference to Para 6-10-11 of the Guidelines to MAS Notice 626 on Prevention of Money Laundering and Countering the Financing of Terrorism for banks, and the equivalent paragraphs in the relevant MAS Guidelines applicable to the other sectors.*

Conclusion

To maintain our status as a trusted financial centre, Singapore needs to uphold high regulatory standards. This trust underpins and is important for our continued success. At the same time, we are mindful that a risk-proportionate regulatory stance needs to be struck, such that we remain welcoming of legitimate wealth.

FIs' senior management needs to set the right tone from the top, and ensure that close oversight is exercised to strengthen effectiveness of AML/CFT frameworks and controls, as well as foster a sound risk management culture. This should include setting clear expectations on the roles and responsibilities of the FI's staff, and ensuring that policies and procedures are reviewed on a regular basis.

Given the evolving nature of ML/TF risks, it is especially important for FIs to ensure that their AML/CFT controls keep pace with new typologies and developments. In particular, FIs should ensure that their AML/CFT controls do not operate in silos and remain effective to detect and deter potential illicit flows. FIs are also encouraged to leverage technology to strengthen their risk detection capabilities.

FIs should assess the robustness of their AML/CFT controls by performing a gap analysis against the observations and guidance provided in this paper, and take appropriate steps to address any gaps, in a risk-proportionate manner. These learnings from the gap analysis should be incorporated in FIs' AML/CFT policies and procedures, as well as training to staff in order to promote strong ML/TF risk awareness across the FI.